

Why “Wasting Money” Is Okay

Growing up, I was always worried about wasting money. It made sense—because I didn’t have much!

But I’ve since changed my perspective. I sincerely believe this: Once I cover my basic financial needs, it’s totally fine to waste a certain amount of money every year. In fact, I *expect it*.

Here are some examples:

- » **Buying books.** I think books are one of the best values on Earth, so I created Ramit’s Book-Buying Rule, which says, “If you’re ever considering a book, just buy it.” The result is that I buy tons of books every year. Some of them, I love. Others are still sitting in my queue. And a few I hate within the first thirty pages. Did I “waste” my money on them? Yes, I guess you could say so. But I also discovered twenty other books that changed my life.
- » **Going to a talk.** I attend a lot of weird talks. I bought access to a webinar to learn how architects design houses—and loved it. I attended a tea-making ceremony—not really my thing. And my wife and I attended a magic show over Zoom—that was awesome. Some of these are hits, others are duds. But in order to find the life-changing experiences, you should anticipate incurring a little waste.
- » **Business expenses.** One of my coworkers paid a filmmaker to edit some of my Instagram videos for about \$20 a pop. One day, we got a video back and I didn’t like it—it just didn’t feel right—so I recorded my own video. My coworker came to me and said, “You know, we just wasted \$20.” I simply smiled, because in the grand scheme of things, \$20 makes no difference to me. In fact, I expect that if we paid \$200 for ten videos, that we’re probably going to toss at least three or four of them. That’s just the cost of doing business. But when I had started with money, I would have been super rigid: “We spent \$200, we need to use it all!” (Or “We paid for an all-you-can-eat buffet, so we need to stuff ourselves!”) Now I can relax, knowing that we’ve planned and budgeted for videos, knowing not every single one will be completely perfect.